

investment bank Nomura, said in a note.

Slowing private consumption at 3.1 per cent in Q2 and possible rural distress amidst lower agricultural growth and uneven rainfall are other red flags highlighted by analysts, although the Union finance ministry feels high-frequency data points to continued festive spending in October and November and sales even in rural areas. The manufacturing PMI rose to 56 in November from 55.5 in October, indicating a robust performance of the sector. GST collections shot up by 15 per cent to ₹1.68 lakh crore in November.

Volatile Brent crude oil prices are another challenge. What's more, the looming presence of the 2024 general elec-

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GROWTH IN GROSS FIXED CAPITAL FORMATION WAS AT A ROBUST FIVE-QUARTER HIGH OF 11 PER CENT YOY IN Q2

tions has cast a shadow on the government's focus on capital expenditure as well as the nascent recovery in private investments. Historical trends indicate that capex tends to slow down ahead of elections. The sustenance of the growth trajectory hinges now on the rural economy and overall consumption, which are necessary for private investment to fully take off. **BT**

@surabhi_prasad

CORPORATE

Family Affair

Raymond's investors grapple with uncertainty as a dispute between CMD Gautam Singhania and his estranged wife Nawaz Modi plays out in the open

BY KRISHNA GOPALAN

► **THE LAST FEW** weeks have not been easy for Gautam Singhania, the 58-year-old Chairman and Managing Director of Raymond. A very public spat between him and his now estranged wife, Nawaz Modi Singhania, has not gone down well with the stock market, sparking a 14 per cent fall in share prices in November.

The family battle has a professional angle, since Nawaz Modi is a non-executive director of Raymond. Singhania has requested privacy, but there are concerns.

A recent note by proxy advisory firm Institutional Investor Advisory Services asks how "private" the lives of listed company CEOs ought to be. "A CEO's divorce can

affect the company in many ways. First, a divorce may impact the CEO's efficiency. There is a growing body of work that suggests that family conflict often spills onto the workplace," it said. Then, there is the impact on ownership, where a CEO holding a substantial ownership stake in a company "may need to sell or transfer a portion of this stake to meet the conditions outlined in a divorce settlement." Per reports, Nawaz Modi has sought 75 per cent of Singhania's wealth, estimated at \$1.4 billion.

The firm's independent directors, meanwhile, have hired legal counsel and have assured shareholders that they will protect the interests of all stakeholders.

HOW THE BUSINESS STACKS UP

- Real estate recorded the highest Ebitda margin
- But the branded textiles segment continues to dominate in terms of absolute sales

BUSINESS	SALES (IN ₹ CRORE)	EBITDA MARGIN (%)
Branded textiles	3,364	20.9
Branded apparel	1,328	10.8
Garmenting	1,100	7.6
High-value cotton shirting	762	11.1
Engineering	864	14.1
Real estate	1,115	25.7

EBITDA: EARNINGS BEFORE INTEREST, TAXES, DEPRECIATION AND AMORTISATION

SOURCE: RAYMOND ANNUAL REPORT FOR 2022-23